
ENHANCE Independent Structural Audit™

Concessionality Dilution at Scale

352 Approved Funding Proposals
Green Climate Fund | 2015-2026

*We read structures.
Structure transcends human language.*

July 2026 | ENHANCE Institute

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Enhancing the Systems that sustain our world

ENHANCE Independent Structural Audit™

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Methodological Basis

This audit is based on publicly available information.

It applies the RFRC™, ESF™, C-FAIR™, and CFAM™ frameworks developed by ENHANCE Institute to assess whether climate finance structures are aligned with country conditions, concessionality needs, project logic, financing channels, and private-capital activation feasibility.

Structural Audit Boundary

This document does not constitute legal, fiduciary, statutory, or institutional audit. It is an independent structural audit based on publicly available data and ENHANCE Institute's documented analytical frameworks. The findings identify structural audit signals. They do not allege misconduct, replace official institutional evaluation, or imply formal mandate from any assessed entity.

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Contents

ISAR-2026-001

ENHANCE Independent Structural Audit™ (EISA™)

Concessionality Dilution at Scale | GCF's 352 Approved Projects Portfolio | 2015-2026

Executive Summary	1
1. Purpose of the Report	3
2. Methodological Boundary	
2.1 Analytical Scope	4
2.2 Grant Ratio Definition	4
2.3 LDC/SIDS Inclusion Definition	5
2.4 Public/Private Classification	5
2.5 SAP/FP Classification	5
2.6 Grant Gap Calculation	6
2.7 What This Report Does Not Prove	6
3. Analytical Framework	
3.1 RFRC™ — Right Finance, Right Country	7
3.2 ESF™ — ENHANCE Scenario Framework™	7
3.3 C-FAIR™ — Climate-Finance Adaptation and Investment Resilience	7
3.4 CFAM™ — Climate-Finance Activation Map	8
4. Finding 1 — Grant Drift	9
5. Finding 2 — Size-Grant Inversion	10
6. Finding 3 — Cross-cutting Capital Concentration	11
7. Finding 4 — SAP/FP Dual Track	12
8. Finding 5 — Private Structure Risk	14
9. Finding 6 — ESF™ Regime-Based Grant Gap	15
10. Finding 7 — Theme-Adjusted Correction	16
11. Finding 8 — Channel-Based Concessionality Divergence	17

Contents

ISAR-2026-001

ENHANCE Independent Structural Audit™ (EISA™)

Concessionality Dilution at Scale | GCF's 352 Approved Projects Portfolio | 2015-2026

12. Anticipated GCF Response and ENHANCE Response

12.1 Potential GCF Response	19
12.2 ENHANCE Response	20

13. What the Report Does Not Establish

13.1 Additionality	21
13.2 Accounting Attribution	21

14. Structural Interpretation 22

15. Conclusion 23

Final Statement 24

Annex — Illustrative Structural Application: FP301 25

Step 1 — RFRC™: What Concessionality Level Does This Country Require?	26
Step 2 — ESF™: What Structural Regime Does Brazil Occupy?	26
Step 3 — C-FAIR™: Is the Financing Structure Resilient Under Brazil's Conditions?	27
Step 4 — CFAM™: Does the Leverage Claim Represent Structural Activation?	27
What the Sequential Application Reveals	28

Executive Summary

This report presents an independent structural audit of 352 Green Climate Fund-approved projects and programmes from 2015 to March 2026.

The analysis is based on publicly available project-level data and applies ENHANCE Institute's RFRC™, ESF™, C-FAIR™, and CFAM™ frameworks to examine whether the concessional structure of GCF approvals is aligned with country vulnerability, project scale, thematic category, access modality, and private capital activation conditions.

The core finding is not that the GCF excludes vulnerable countries.

It does not.

Vulnerable countries are present throughout the GCF portfolio.

The core finding is more structural:

As vulnerable countries enter larger financing structures, concessionality tends to dilute.

High-grant access is concentrated in smaller projects, while larger capital structures become less grant-intensive. The issue is therefore not only how much finance is approved, or whether vulnerable countries are included. The issue is whether concessionality is structurally allocated to the countries, project types, and financing conditions where it is most needed.

In short:

**The problem is not aggregate volume.
The problem is structural placement.**

Across the portfolio, ENHANCE identifies eight audit findings:

1. **Grant Drift** — the average grant ratio declined from 90.0% in 2015 to 62.3% in 2026 YTD, a 27.7 percentage-point decline.
2. **Size–Grant Inversion** — in vulnerable-country-related structures, smaller projects remain highly grant-intensive, while large projects become substantially less concessional.
3. **Cross-cutting Capital Concentration** — cross-cutting projects represent the largest thematic funding volume but have a grant ratio almost 30 percentage points below adaptation projects.
4. **SAP/FP Dual Track** — the Simplified Approval Process provides smaller, grant-heavy access, while full Funding Proposals carry much larger average funding volumes and lower grant ratios.
5. **Private Structure Risk** — private-sector projects are larger, much less grant-intensive, and include LDC/SIDS contexts in nearly half of cases, raising questions about whether reported leverage represents structural activation.
6. **ESF Regime-Based Grant Gap** — aggregate grant levels can appear sufficient, but regime-level mapping shows under-granting in some High-Stress and Fragmented contexts, while Delayed Adjustment contexts often receive above-range grant levels.

7. **Theme-Adjusted Correction** — Delayed Adjustment over-granting cannot be treated as simple inefficiency because more than half of above-range cases are adaptation projects, where high grants may be structurally justified.
8. **Channel-Based Concessionality Divergence** — within the same Delayed Adjustment regime and mitigation theme, public projects received an average grant ratio of 68.7%, while private projects received 21.0%, a 47.7 percentage-point gap.

Taken together, these findings show a structural pattern:

**GCF concessionality is not consistently aligned with structural need.
It is segmented by scale, theme, and financing channel.**

This report does not claim that GCF financing decisions are made in bad faith. It does not allege misconduct. It does not replace fiduciary, legal, environmental, social, or official institutional evaluation processes.

It asks a different question:

**Does the financing structure match the structural conditions
under which climate finance is expected to succeed?**

1. Purpose of the Report

The Green Climate Fund is one of the most important institutions in global climate finance. Its role is not only to provide capital, but to shape how climate finance is structured, justified, blended, and scaled across developing countries.

As the global climate finance system enters an accountability phase, the question is no longer only whether climate finance is approved, committed, or mobilized.

The question is whether climate finance operates as declared.

This report examines the structure of GCF approvals from 2015 to March 2026 through a concessionality lens.

It asks:

- Is the GCF portfolio becoming more or less grant-intensive over time?
- Do larger projects receive lower grant ratios?
- Are vulnerable countries receiving concessionality at the scale required by their structural conditions?
- Does cross-cutting finance concentrate capital under lower-grant structures?
- Does the SAP/FP architecture create a scale-concessionality trade-off?
- Are private-sector projects structurally capable of activating private capital under the grant levels observed?
- Does concessionality align with ESF regime conditions?
- Does public/private access modality influence grant allocation even within the same regime and theme?

The purpose is not to criticize the GCF as an institution.

The purpose is to audit the structural logic of concessionality allocation.

2. Methodological Boundary

This report uses an ENHANCE project-level analytical dataset consisting of 352 GCF-approved projects and programmes from 2015 to March 2026.

The analysis is based on publicly available approval data, project classifications, financial instrument information, country classifications, and ENHANCE-derived structural mappings.

Dataset counts may differ from headline GCF portfolio counts depending on data cut-off, project status, metadata completeness, classification availability, and whether cancelled, withdrawn, duplicate, or non-standard records are included. ENHANCE uses a cleaned analytical dataset of 352 approved projects and programmes as of March 2026.

Structural Audit Boundary

ENHANCE uses the term “structural audit” to refer to an independent, public-data-based assessment of whether climate finance structures are aligned with country conditions, financing instruments, project logic, concessionality needs, and reported outcome claims.

This report does not imply statutory audit authority, fiduciary assurance, legal review, official GCF evaluation, or institutional mandate from any assessed entity.

It identifies structural audit signals based on publicly available evidence and ENHANCE’s documented analytical frameworks.

2.1 Analytical Scope

The full portfolio-level analysis covers 352 approved projects and programmes.

For ESF™ × C-FAIR™ mapping, the analysis is limited to single-country projects where country-level structural assignment could be made reliably.

Of 265 single-country projects, 227 were successfully mapped to ESF regimes.

Multi-country projects were excluded from ESF regime-level grant-gap analysis because publicly available data do not always provide country-by-country allocation of approved GCF finance, grant amount, exposure, instrument structure, and final-use attribution.

This exclusion is methodological, not interpretive.

Multi-country and programmatic projects may carry important structural risks, especially regarding final-use traceability and country-level attribution. They should be the subject of a separate audit.

2.2 Grant Ratio Definition

Unless otherwise stated, Grant Ratio refers to the share of approved GCF funding provided as grants within the approved GCF funding package.

It is not equivalent to total project concessionality, total project grant-equivalent value, or grant share of total project cost unless explicitly stated.

Where grant-equivalent calculations require loan concessionality terms, guarantee pricing, equity risk-sharing, or on-lending conditions not fully available in public documents, this report does not infer hidden grant-equivalent values.

Unless otherwise stated, average grant ratios in this report are calculated using project-level observed grant ratios within the relevant analytical subset. Funding volumes and average project sizes are separately reported where scale effects are material to the interpretation.

2.3 LDC/SIDS Inclusion Definition

LDC/SIDS inclusion refers to whether a project includes at least one Least Developed Country or Small Island Developing State within its country scope.

For single-country projects, the classification is based on the country itself.

For multi-country or regional projects used in portfolio-level descriptive analysis, a project is treated as LDC/SIDS-including if at least one LDC or SIDS is included in the project's country coverage. This does not imply equal allocation of finance across participating countries.

For this reason, country-level ESF grant-gap analysis is restricted to single-country projects where country assignment and structural interpretation can be made reliably.

2.4 Public/Private Classification

Public/private classification follows the access or sector-channel information available in the GCF project data and ENHANCE's cleaned analytical dataset.

Where a project is classified as private-sector or private-channel, ENHANCE treats the project as part of the private finance activation audit universe. This does not automatically imply that all capital in the project is private, nor that private capital was additional.

The classification is used to identify whether concessionality differs by financing channel and whether lower grant ratios in private or blended structures require further activation audit.

2.5 SAP/FP Classification

SAP refers to projects approved through the Simplified Approval Process.

FP refers to standard Funding Proposals.

Where project records fall outside these two categories, or where classification is incomplete or non-standard, they are included in the full 352-project portfolio analysis where appropriate but excluded from the SAP/FP dual-track comparison.

This is why the SAP and FP counts do not necessarily sum to the full analytical dataset.

2.6 Grant Gap Calculation

Grant Gap is calculated as:

Observed Grant Ratio – Midpoint of ENHANCE RFRC™ Recommended Grant Range

For classification purposes, however, below-range and above-range determinations are made against the lower and upper bounds of the RFRC recommended range.

For example:

- High-Stress Disequilibrium: recommended grant range 80–100%; midpoint 90%
- Fragmented Constraint: recommended grant range 50–80%; midpoint 65%
- Delayed Adjustment: recommended grant range 20–50%; midpoint 35%
- Coordinated Transition: recommended grant range 0–20%; midpoint 10%

2.7 What This Report Does Not Prove

This report does not prove private finance additionality.

Whether mobilized private capital would have entered without GCF participation requires transaction-level investment data, investor decision records, risk-pricing information, guarantee terms, and project-level financial close evidence.

This report also does not prove accounting attribution.

Whether reported co-financing represents newly mobilized capital, pre-existing commitments, recycled development finance, or reclassified financing requires attribution-level financial records beyond what is fully available in public approval documents.

These limitations are not weaknesses of the audit.

They define the boundary between public-data structural audit and transaction-level institutional audit.

The absence of fully public additionality and attribution evidence is itself one reason independent structural audit capacity is needed.

3. Analytical Framework

This report applies four ENHANCE frameworks: RFRC™, ESF™, C-FAIR™, and CFAM™.

Together, these frameworks examine whether GCF concessionality is structurally appropriate for the country scenario, adaptation and investment-resilience conditions, and private-finance activation feasibility.

3.1 RFRC™ – Right Finance, Right Country

RFRC™ defines whether the type and concessionality level of climate finance is structurally appropriate for a country's fiscal, vulnerability, and climate-finance conditions.

It does not ask only whether a country receives finance.

It asks whether the country receives the right type of finance.

In this report, RFRC™ provides the recommended concessionality range against which observed GCF grant ratios are compared.

3.2 ESF™ – ENHANCE Scenario Framework™

ESF™ classifies countries into structural climate-finance scenarios.

These scenarios reflect a country's vulnerability, fiscal constraints, adaptation capacity, investment resilience, and climate-finance operating conditions.

In this report, ESF™ is used to determine the structural regime under which a country's concessionality need should be interpreted.

The four ESF™ regimes used in this report are:

ESF™ Regime	CRI Range	Number of Countries	RFRC™ Grant Recommendation
High-Stress Disequilibrium	0.702–0.761	19	80–100%
Fragmented Constraint	0.555–0.699	89	50–80%
Delayed Adjustment	0.327–0.550	82	20–50%
Coordinated Transition	0.250	1	0–20%

These regimes are not moral labels.

They are structural classifications.

They indicate how much concessionality a country's climate-finance environment is likely to require.

3.3 C-FAIR™ – Climate-Finance Adaptation and Investment Resilience

C-FAIR™ evaluates whether a climate-finance structure is resilient under the country's adaptation needs, fiscal constraints, investment conditions, and implementation-risk environment.

In this report, C-FAIR™ supports the assessment of whether observed grant ratios are structurally compatible with country conditions and project-level financing logic.

C-FAIR™ is therefore used not merely to identify risk, but to interpret whether a financing structure can withstand the adaptation and investment-resilience conditions of the recipient country.

3.4 CFAM™ – Climate-Finance Activation Map

CFAM™ maps whether private or blended climate finance can be structurally activated under a given country, project, risk, and concessionality configuration.

It distinguishes reported leverage from structural activation.

A low grant ratio may indicate successful private-capital mobilization.

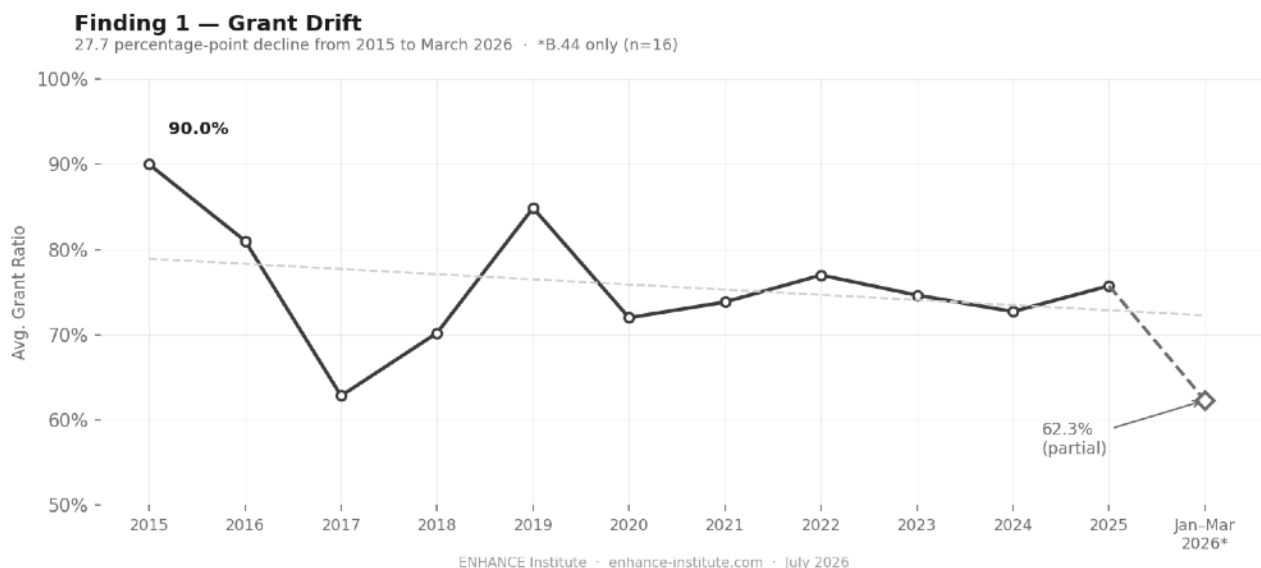
It may also indicate concessionality dilution, risk displacement, or accounting leverage.

CFAM™ identifies where activation is plausible and where deeper audit is required.

In this report, CFAM™ is used to assess which interpretation is structurally more plausible when low-grant private or blended finance structures appear in vulnerable or constrained country contexts.

4. Finding 1 – Grant Drift

The GCF portfolio shows a long-term decline in average grant intensity.



Average annual Grant Ratio:

Year	Average Grant Ratio
2015	90.0%
2016	81.0%
2017	62.8%
2018	70.2%
2019	84.9%
2020	72.0%
2021	73.8%
2022	77.0%
2023	74.6%
2024	72.7%
2025	75.7%
2026 YTD	62.3%

From 2015 to March 2026, the average grant ratio declined from 90.0% to 62.3%.

This is a decline of 27.7 percentage points.

This does not establish intent.

It does establish structural drift.

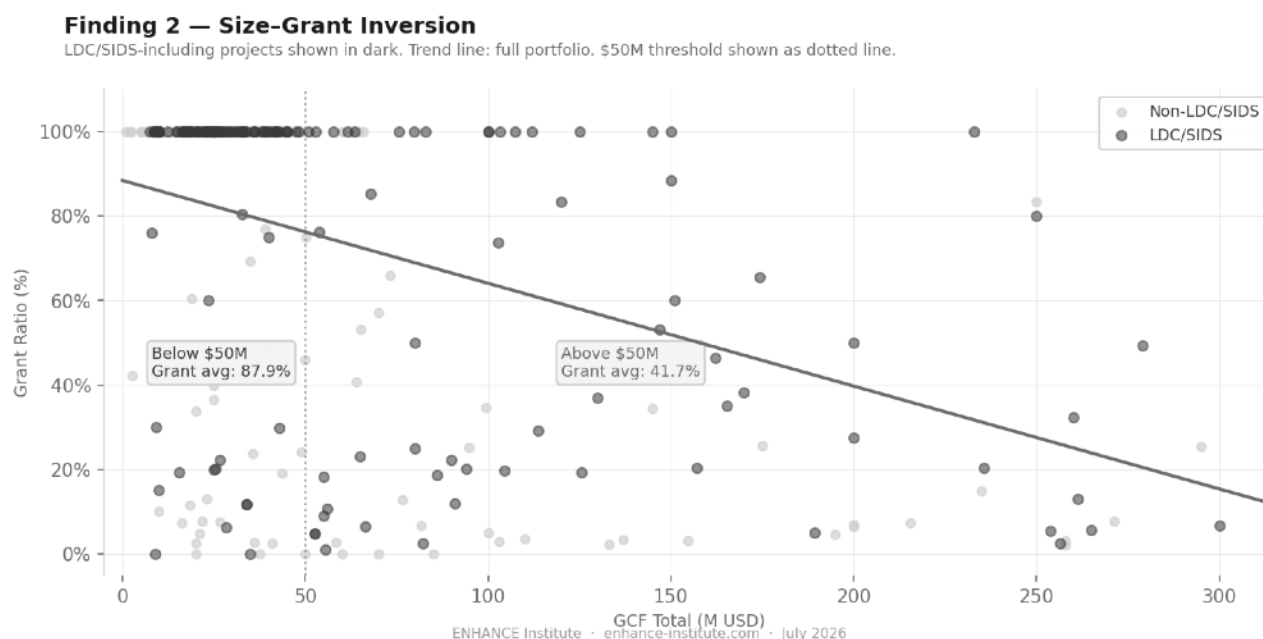
The portfolio has moved away from its early grant-intensive profile toward a more mixed and less grant-dominant financing architecture.

The audit question is not whether this shift is inherently wrong.

The audit question is whether the shift is structurally aligned with country need, project type, and private capital activation feasibility.

5. Finding 2 – Size–Grant Inversion

ENHANCE identifies a size–grant inversion in vulnerable-country-related financing structures.



Across the full portfolio by approved GCF funding size:

Project Size	Average Grant Ratio
Below USD 50 million	87.9%
USD 50 million and above	41.7%

Difference: **–46.2 percentage points**

Large projects also include vulnerable countries at structurally significant levels. Among projects of USD 50 million and above, the LDC/SIDS inclusion rate is 60.7%.

This means that vulnerable countries are not absent from larger structures.

They are present.

But when they enter larger structures, grant intensity falls sharply.

A climate-justice-oriented financing structure would normally expect higher concessionality where fiscal space is weaker, debt risk is higher, climate vulnerability is greater, and implementation exposure is larger.

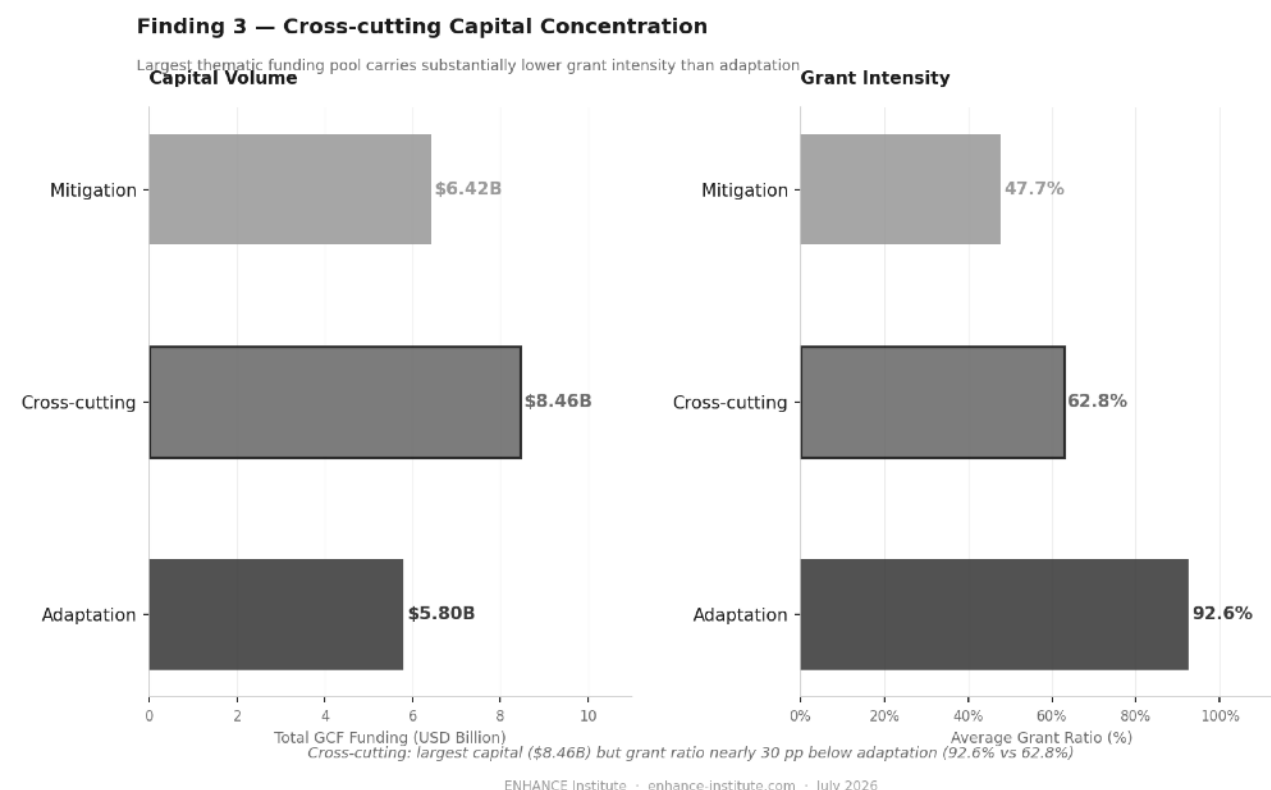
The observed pattern moves in the opposite direction.

The larger the structure, the weaker the grant intensity.

This is the first core expression of concessionality dilution at scale.

6. Finding 3 — Cross-cutting Capital Concentration

The GCF portfolio's largest thematic capital pool is cross-cutting finance.



Theme	Number of Projects	Share of Projects	Funding Volume	Grant Ratio	LDC/SIDS Inclusion
Adaptation	162	46.0%	USD 5.80B	92.6%	63.0%
Cross-cutting	115	32.7%	USD 8.46B	62.8%	55.7%
Mitigation	75	21.3%	USD 6.42B	47.7%	45.3%

Cross-cutting projects account for 32.7% of project count but USD 8.46 billion in funding volume, the largest thematic pool in the analytical dataset.

Yet the cross-cutting grant ratio is 62.8%, nearly 30 percentage points below the adaptation grant ratio of 92.6%.

The largest thematic capital pool is therefore not the most concessional one.

This matters because cross-cutting projects often combine mitigation, adaptation, resilience, infrastructure, and financial intermediation claims. Without clear internal attribution, cross-cutting structures can make it more difficult to determine whether capital is serving adaptation need, mitigation return logic, institutional delivery convenience, or blended finance architecture.

Cross-cutting finance is not inherently problematic.

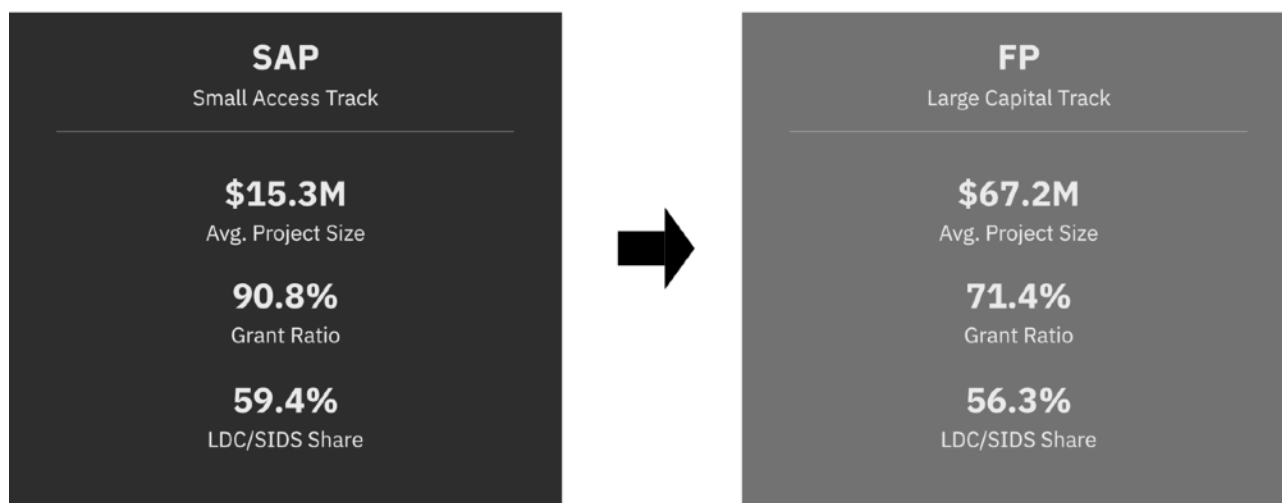
The audit question is whether large cross-cutting structures preserve sufficient concessionality and traceability when vulnerable countries are included.

7. Finding 4 – SAP/FP Dual Track

The portfolio shows a dual-track architecture between SAP and full Funding Proposals.

Finding 4 – SAP / FP Dual Track

Same vulnerable countries, two financing paths — concessionality weakens at large scale



Approval Channel	Number of Projects	Average Size	Grant Ratio	LDC/SIDS Inclusion
SAP	69	USD 15.3M	90.8%	59.4%
FP	247	USD 67.2M	71.4%	56.3%

SAP projects are smaller and highly grant-intensive.

Full Funding Proposals are larger and less grant-intensive.

This creates a scale-concessionality trade-off.

For vulnerable countries, SAP can improve access to grant-heavy finance at small scale. But larger financing structures, where transformative infrastructure, systemic adaptation, or national-scale transition may be required, become less concessional.

This does not mean SAP is flawed.

It means SAP and FP appear to perform different structural roles:

- SAP provides small-scale concessional access.
- FP provides larger-scale finance with weaker grant intensity.

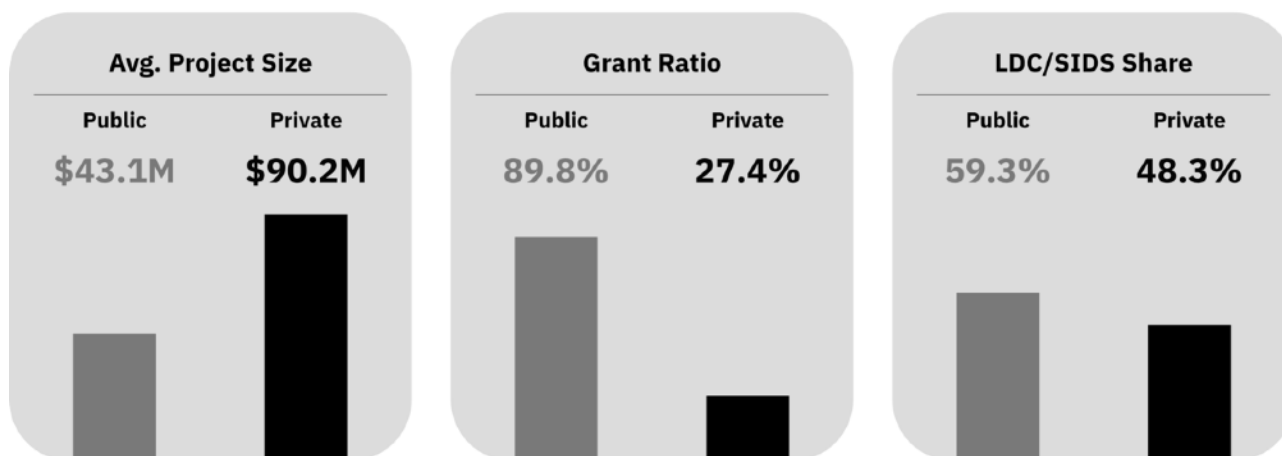
The audit question is whether this dual-track architecture allows vulnerable countries to access concessionality at the scale required by their structural conditions.

8. Finding 5 – Private Structure Risk

Private-sector projects are larger, less grant-intensive, and include vulnerable-country contexts at significant levels.

Finding 5 – Private Leverage Claim Risk

A leverage ratio is not evidence of structural success. It is a financing ratio that must be audited.



Private projects are larger, less grant-intensive, and include LDC/SIDS in nearly half of cases.
Under CFAM™: Fragmented-context private projects (n= 13, avg. 29.4%) show Type II Negative risk signal.

Access / Sector Channel	Number of Projects	Grant Ratio	Average Size	LDC/SIDS Inclusion
Public	194	89.8%	USD 43.1M	59.3%
Private	60	27.4%	USD 90.2M	48.3%

Private projects have an average size of USD 90.2 million, more than twice the public-channel average of USD 43.1 million.

Their grant ratio is 27.4%, compared with 89.8% for public projects.

Nearly half include LDC/SIDS contexts.

GCF may argue that lower grant intensity in private-sector projects reflects its mandate to mobilize private capital.

ENHANCE does not reject private capital mobilization as a legitimate objective.

The audit question is different.

A leverage ratio is not evidence of structural success.

It is a financing ratio that must be audited.

Private finance mobilization becomes structurally valid only if the capital is additional, risk-adjusted, locally viable, fiscally appropriate, and linked to verifiable outcomes.

Low grant intensity may indicate successful mobilization.

It may also indicate concessionality dilution, risk displacement, or accounting leverage.

Under CFAM™ screening, the mapped private single-country subset shows the following risk signals:

- High-Stress private case: 1 project, Grant Ratio 4.8%, strong Type II Negative risk signal.
- Fragmented private cases: 13 projects, average Grant Ratio 29.4%, Type II Negative risk signal requiring further audit.
- Delayed private cases: 11 projects, average Grant Ratio 19.4%, conditionally plausible but requiring project-level activation verification.

The key distinction is this:

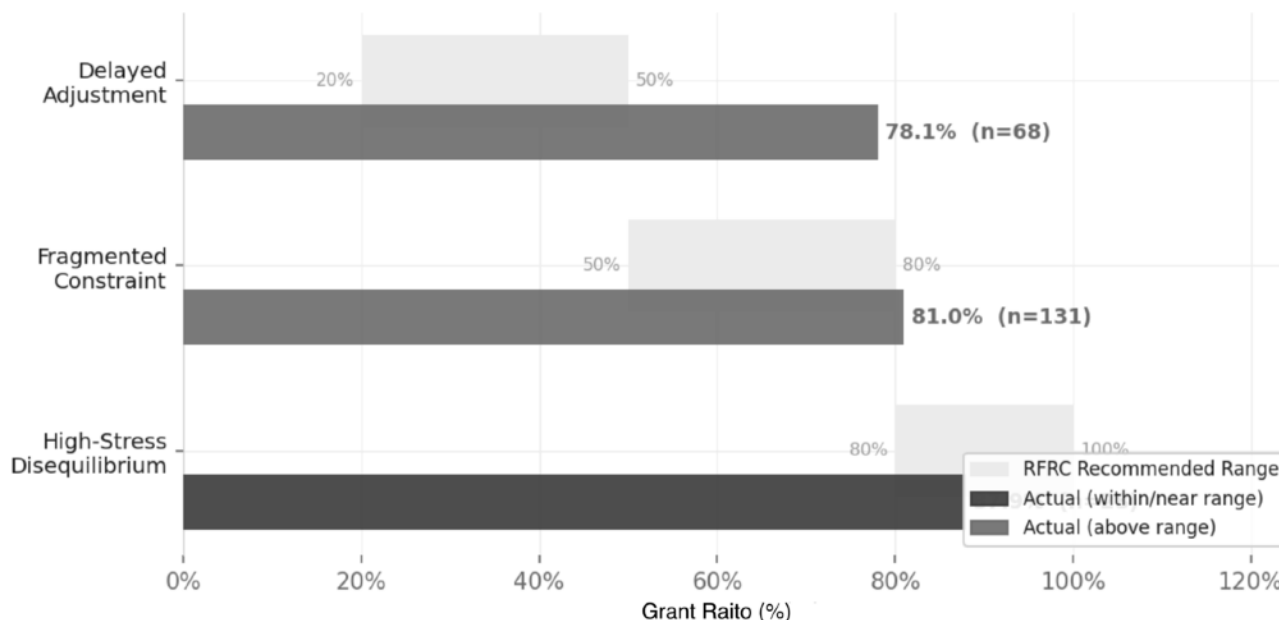
Reported leverage is not the same as structural activation.

9. Finding 6 — ESF™ Regime-Based Grant Gap

For 227 ESF-mapped single-country projects, ENHANCE compared observed grant ratios with RFRC recommended grant ranges.

Finding 6 — ESF-Based Concessionality Misallocation

Grant allocation vs RFRC structural need by country regime • 227 single-country mapped projects



ESF™ Regime	Project Count	Recommended Grant Range	Observed Grant Ratio	Gap vs Midpoint
High-Stress Disequilibrium	28	80–100%	87.9%	–2.1pp
Fragmented Constraint	131	50–80%	81.0%	+16.0pp
Delayed Adjustment	68	20–50%	78.1%	+43.1pp

At first glance, the portfolio appears highly concessional.

However, regime-level analysis shows that grant adequacy is not evenly aligned with structural need.

Classification against RFRC recommended ranges shows:

Classification	Count	Share	Funding Volume
Below recommended range	43	18.9%	USD 3.48B
Within recommended range	35	15.4%	USD 1.57B
Above recommended range	149	65.6%	USD 4.06B

The aggregate picture can mislead.

A high average grant ratio does not prove structural alignment.

High-Stress countries have the strongest concessionality need. Yet 14.3% of High-Stress projects fall below the recommended range. Fragmented countries also show below-range cases, with 21.4% falling below the RFRC™ recommendation.

At the same time, Delayed Adjustment countries show frequent above-range grant levels.

This does not automatically mean grant liquidity is wasted.

It means regime-based analysis identifies an audit signal requiring theme adjustment.

The relevant question is not simply whether grant finance is used.

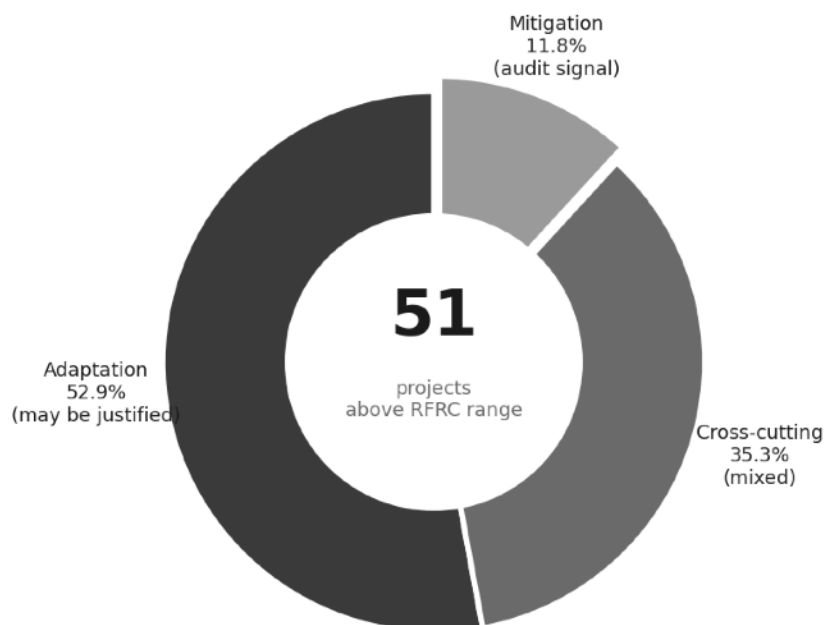
The relevant question is whether it is structurally placed.

10. Finding 7 — Theme-Adjusted Correction

The Delayed Adjustment above-range finding requires theme-level decomposition.

Finding 7 — Theme-Adjusted Correction

Above-range grants in Delayed Adjustment countries: what is actually inside?



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Among 51 above-range Delayed Adjustment projects:

Theme	Count	Share	Interpretation
Adaptation	27	52.9%	High grant may be structurally justified
Cross-cutting	18	35.3%	Requires internal thematic decomposition
Mitigation	6	11.8%	Stronger misallocation risk

A simple conclusion that “Delayed Adjustment countries are over-granted” would be incorrect.

More than half of the above-range Delayed cases are adaptation projects.

Adaptation projects often lack direct revenue logic, have strong public-good characteristics, and may require high grant intensity even in countries where private capital is conditionally viable in other sectors.

ENHANCE therefore does not treat Delayed Adjustment over-granting as automatic inefficiency.

Instead, the report applies a theme-adjusted interpretation:

- Delayed + Adaptation + High Grant: potentially justified.
- Delayed + Cross-cutting + High Grant: requires internal thematic decomposition.
- Delayed + Mitigation + High Grant: stronger concessionality misallocation signal.

This correction matters.

It shows that ENHANCE does not use data to force a predetermined conclusion.

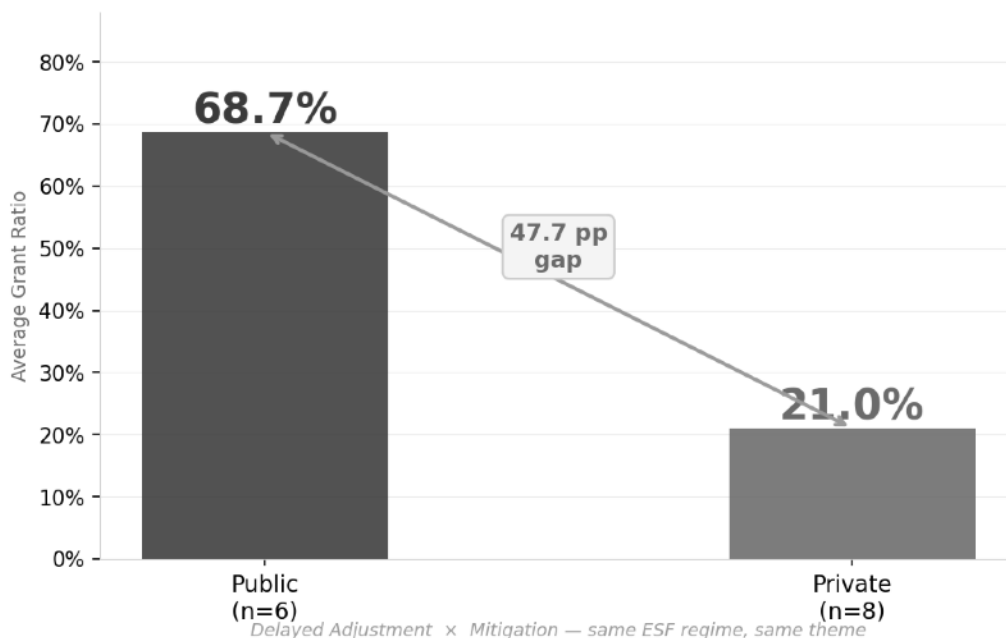
It audits structure by separating regime, theme, revenue logic, and financing modality.

11. Finding 8 – Channel-Based Concessionality Divergence

The strongest theme-adjusted signal appears within Delayed Adjustment mitigation projects.

Finding 8 – Channel-Based Concessionality Divergence

Same regime. Same theme. Public vs Private channels diverge by 47.7 percentage points.



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ESF Regime	Theme	Channel	Count	Average Grant Ratio
Delayed Adjustment	Mitigation	Public	6	68.7%
Delayed Adjustment	Mitigation	Private	8	21.0%

Gap: **47.7 percentage points**

The sample is limited to 14 projects.

However, the gap is structurally material.

It appears within the same ESF regime and the same broad thematic category.

This raises a central audit question:

Is grant intensity being determined by country structural need and project theme, or by public/private financing channel?

The finding does not prove that private mitigation projects are under-granted.

Nor does it prove that public mitigation projects are over-granted.

It shows that concessionality can diverge sharply by channel even when regime and theme are held broadly constant.

If lower private-sector grant ratios are justified as leverage, they must be tested against:

- financial additionality;
- risk absorption;
- local market viability;
- revenue logic;
- fiscal exposure;
- capital stack structure;
- verified outcomes.

Without such evidence, lower grant intensity remains a reported leverage signal, not proof of structural activation.

This is the core audit issue.

12. Anticipated GCF Response and ENHANCE Response

12.1 Potential GCF Response

GCF may argue:

“We are mandated to mobilize private capital. Lower grant ratios in large projects and private-sector projects are not evidence of misalignment. They are evidence of leverage. The Fund originally aimed to use its public capital catalytically. If anything, grant ratios of 1:2 or 1:3 are more concessional than a 1:10 leverage ambition.”

This is a serious response.

ENHANCE does not dismiss it.

12.2 ENHANCE Response

Private capital mobilization is legitimate.

But leverage is not self-validating.

A lower grant ratio proves that less grant was used.

It does not prove that private capital was structurally activated.

Leverage becomes a valid success claim only when it is tested against:

- **additionality;**
- **country risk;**
- **project revenue logic;**
- **risk transfer;**
- **concessionality sufficiency;**
- **fiscal sustainability;**
- **local viability;**
- **verified climate outcomes.**

The relevant benchmark is not the Fund’s portfolio-level leverage ambition.

The relevant benchmark is the concessionality required by the country-project structure.

A 1:3 structure may be conservative for a commercially viable mitigation project in a Delayed Adjustment country.

The same structure may be insufficient for a High-Stress adaptation project, a fragile-state resilience project, or a private-sector vehicle operating in a structurally constrained market.

There is no universal leverage ratio.

There are only structurally valid or invalid leverage conditions.

Therefore, the audit question is not:

Did GCF mobilize capital at a lower grant ratio?

The audit question is:

**Was the lower grant ratio structurally appropriate for the regime, theme, channel,
and outcome claim to which it was applied?**

13. What the Report Does Not Establish

This report **does not** establish that **GCF intentionally reduces concessionality** for vulnerable countries.

It **does not** establish that **private-sector projects failed**.

It **does not** establish that **reported leverage is invalid**.

It **does not** establish that **cross-cutting finance is inherently problematic**.

It **does not** establish that **all Delayed Adjustment grants are excessive**.

It **does not** establish **misconduct**.

The report establishes something more specific:

The structure of concessionality allocation contains audit signals.

These signals are visible across time, scale, theme, access channel, ESF™ regime, and public/private modality.

They are strong enough to require deeper independent audit.

Two critical questions remain beyond the reach of public data:

13.1 Additionality

Was mobilized private capital genuinely additional?

Would it have entered the project without GCF participation?

Did GCF financing change the investment decision, reduce the risk sufficiently, or enable a structure that would otherwise not exist?

These questions require transaction-level evidence.

13.2 Accounting Attribution

Was reported co-financing newly mobilized capital, pre-existing finance, parallel development finance, recycled institutional capital, or accounting attribution?

Did reported leverage reflect causal mobilization or financial association?

These questions require attribution-level financial data.

Public documents are not sufficient to fully answer either question.

That is precisely why independent structural audit capacity is necessary.

14. Structural Interpretation

The GCF portfolio does not show simple exclusion of vulnerable countries.

It shows **concessionality dilution at scale**.

Vulnerable countries are included.

But their inclusion is segmented.

They appear in **small, grant-heavy** structures.

They also appear in **larger, lower-grant** structures.

As **project scale increases, grant intensity weakens**.

Cross-cutting finance concentrates the largest thematic funding volume but is **substantially less concessional than adaptation finance**.

SAP provides small-scale concessional access, while **full Funding Proposals carry larger capital with weaker grant intensity**.

Private-sector projects are **larger and less grant-intensive**, yet include vulnerable-country contexts.

Regime-level grant analysis shows that **concessionality is not consistently aligned with structural need**.

Theme-adjusted analysis prevents overstatement by recognizing that high adaptation grants in Delayed Adjustment countries may be justified.

Channel-based analysis then shows a sharper issue: **even within the same regime and theme, public and private channels may receive radically different concessionality**.

This is not a simple story of too little grant.

It is a story of structural allocation.

The central question is:

Is concessionality following need, or is it following financing architecture?

15. Conclusion

Climate finance cannot be judged only by the amount approved.

It must be judged by structural fit.

Across 352 GCF-approved projects from 2015 to March 2026, ENHANCE identifies a pattern of concessionality dilution at scale.

The evidence does not suggest that vulnerable countries are absent.

It suggests that vulnerable-country access is structurally segmented:

- **high grant at smaller scale;**
- **lower grant at larger scale;**
- **large cross-cutting pools with weaker concessionality than adaptation;**
- **private structures with low grant ratios and unresolved activation evidence;**
- **regime-level grant gaps hidden by aggregate averages;**
- **public/private channel divergence even within the same regime and theme.**

This is why averages are insufficient.

Averages hide structure.

GCF may be able to say that *vulnerable countries are included*.

It may be able to say that *grant finance is still used*.

It may be able to say that *lower grant ratios reflect leverage*.

But none of these statements resolves the structural audit question:

Is concessionality being allocated where the country-project structure requires it most?

That question remains open.

And the evidence presented in this report shows that it must now be asked.

This is not exclusion.

It is dilution.

Concessionality Dilution at Scale.

Final Statement

ENHANCE Institute conducts structural audits of climate finance systems.

We do not audit intentions.

We audit structures.

We do not ask only whether climate finance was approved.

We ask whether it was structurally fit to succeed.

This report shows that the GCF portfolio contains a material structural pattern:

as scale increases, concessionality dilutes.

That pattern deserves independent scrutiny.

ENHANCE exists to provide it.

Issued by ENHANCE Institute

Independent Structural Audit Authority for Climate Finance

This report was prepared as an independent structural audit based on publicly available information and ENHANCE's RFRC™, ESF™, C-FAIR™, and CFAM™ frameworks.

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Annex — Illustrative Structural Application: FP301

Responsible Commodities Facility: Deforestation and Conversion Free Finance for Soy Production in the Cerrado, Brazil

This annex applies the four analytical frameworks used in ISAR-2026-001 — RFRC™, ESF™, C-FAIR™, and CFAM™ — sequentially to a single GCF-approved project. Its purpose is not to produce a standalone project audit. Rather, it illustrates how the portfolio-level structural signals identified in this report can be traced into the financing logic of an individual project.

The analysis is based entirely on publicly available information contained in the GCF funding proposal for FP301. It does not replace GCF's project appraisal, the accredited entity's fiduciary responsibilities, or any future project-level performance evaluation. It is included to show how structural audit questions are generated when concessionality is assessed against country conditions, instrument fit, risk allocation, and private-capital activation rather than against aggregate financing ratios alone.

Project Profile

FP301 — Responsible Commodities Facility: Deforestation and Conversion Free Finance for soy production in the Cerrado, Brazil — was approved at the 44th GCF Board Meeting in March 2026.

The accredited entity is Sustainable Investment Management Limited, a private-sector entity registered in the United Kingdom. The project is classified as a private-sector mitigation programme. It aims to finance deforestation- and conversion-free soy production in Brazil's Cerrado through green Certificados de Recebíveis do Agronegócio, agricultural receivables certificates used as working-capital loans to soy farmers who commit to DCF practices.

The financing structure is as follows:

Item	Detail
Total project cost	USD 425 million
GCF contribution	USD 85 million
GCF instrument	Loan, SOFR + 1%, 12-year tenor, 0-year grace period
Grant component	Zero
GCF position in capital stack	Junior / first-loss
Co-financing	Subordinated loans from food-sector actors and impact investors; senior loans from commercial banks
Theme	Mitigation
Access channel	Private sector
Recipient country	Brazil

GCF's USD 85 million occupies the junior position within the fund structure, absorbing first losses before mezzanine and senior co-financiers. Commercial banks receive SOFR + 2%. Impact investors receive SOFR + 1% to SOFR + 3%. GCF receives SOFR + 1% while bearing the highest risk exposure in the capital stack.

This structure makes FP301 a useful illustrative case for three portfolio-level findings in ISAR-2026-001: Size–Grant Inversion, Private Structure Risk, and Channel-Based Concessionality Divergence.

Step 1 – RFRC™: What Concessionality Level Does This Country Require?

RFRC™ establishes the structural benchmark. Before evaluating whether a financing structure is appropriate, the framework asks what level of concessionality the recipient country and project type structurally require.

Brazil is an upper-middle-income country with active domestic capital markets, functioning private-investment infrastructure, and access to international capital markets. The CRA instrument used in FP301 is not an unfamiliar public-sector adaptation instrument. It is a standard Brazilian agribusiness financing vehicle already used in domestic commercial lending. Brazil therefore does not occupy the same structural category as fiscally fragile, high-vulnerability LDC or SIDS contexts.

Under RFRC™, Brazil's structural position generally supports a lower-concessionality financing approach than would be appropriate for High-Stress or highly grant-dependent countries. Grant-heavy climate finance is not structurally required across the board in Brazil. It may be justified only where the project type has a strong public-good character and lacks any viable commercial revenue logic.

FP301 has a grant ratio of 0%. Under RFRC™, this is not automatically a misalignment signal. The framework does not require grants for all projects in all countries. What it requires is that the concessionality level be structurally appropriate for the specific country-project configuration.

For FP301, the RFRC™ question is therefore precise: is a 0% grant ratio, combined with a GCF loan at SOFR + 1%, structurally appropriate for a private-sector mitigation project in Brazil's country context?

RFRC™ establishes the benchmark. It does not resolve the financing-design question alone. That question passes to ESF™.

Step 2 – ESF™: What Structural Regime Does Brazil Occupy?

ESF™ classifies Brazil within the Delayed Adjustment regime: a structural configuration in which meaningful fiscal capacity and functioning investment conditions exist, but specific barriers continue to delay private-capital activation in particular sectors, instruments, or asset classes.

For FP301, the relevant barrier is not the absence of a domestic agribusiness finance market. The relevant barrier is investor reluctance to participate in Brazilian agricultural receivables structures linked to deforestation- and conversion-free soy, particularly where international investors perceive sovereign risk, currency exposure, and uncertainty around green CRA performance.

This classification matters for two reasons.

First, Delayed Adjustment is not a high-concessionality regime. It does not normally justify grant-heavy financing. However, FP301's 0% grant ratio sits below the general concessionality corridor associated with the regime. The private-sector mitigation context makes this less severe than it would be in a high-vulnerability adaptation project, but it still creates a structural question.

Second, FP301 sits directly within the analytical universe of Finding 8 in this report: Channel-Based Concessionality Divergence. In that finding, private-channel mitigation projects in the Delayed Adjustment regime received substantially lower grant ratios than public-channel mitigation projects in the same regime. FP301 sits at the extreme low end of that private-channel pattern, with no grant component at all.

ESF™ does not determine whether this is a structural failure. It establishes the regime context in which the financing design must be assessed. That assessment passes to C-FAIR™.

Step 3 – C-FAIR™: Is the Financing Structure Resilient Under Brazil's Conditions?

C-FAIR™ asks whether the full financing configuration — instruments, tenor, repayment obligations, risk allocation, and outcome expectations — is resilient under the operating conditions the project will encounter.

For FP301, three structural observations are central.

The first concerns repayment logic. GCF provides USD 85 million as a loan at SOFR + 1%, with a 12-year tenor and no grace period. Because the borrower is a private-sector accredited entity rather than the Brazilian government, the primary concern is not direct sovereign debt exposure. The C-FAIR™ question is whether the project's revenue logic is robust enough to support repayment over the programme horizon.

The project's return logic depends on agricultural loan repayments by soy farmers. Those repayments depend on soy production performance, farmer compliance with deforestation- and conversion-free commitments, commodity-market conditions, off-taker demand, and the continued credibility of the green CRA structure. These are not guaranteed conditions. They are structural assumptions that must hold over a 12-year horizon.

The second observation concerns risk allocation. GCF occupies the junior position in the capital stack. It absorbs first losses before mezzanine and senior co-financiers. At the same time, GCF receives SOFR + 1%, while commercial banks receive SOFR + 2%, food-sector actors receive SOFR + 2.5%, and impact investors receive up to SOFR + 3%.

This means the public concessional instrument bears the highest risk exposure while receiving the lowest or among the lowest pricing in the structure. Such asymmetry can be legitimate in blended finance when it demonstrably activates private capital that would not otherwise participate. But it also raises a structural question: is the public instrument reducing systemic failure probability, or is it primarily protecting private co-financiers from downside risk?

The third observation concerns the absence of a grant component for farmer participation incentives. Deforestation- and conversion-free production may impose real economic costs on farmers, including foregone legal land-conversion options, compliance obligations, monitoring requirements, and potential market-access constraints. A loan instrument, however concessional, still requires repayment. Where conservation creates costs and the financing instrument creates obligations, the incentive structure must be strong enough to sustain participation without a grant component.

C-FAIR™ does not conclude that FP301 is structurally unsustainable. It identifies financing-resilience questions: whether a zero-grant, junior-public-loan structure can sustain farmer participation, repayment, conservation behaviour, and investor confidence over the full programme horizon.

Those questions pass to CFAM™.

Step 4 – CFAM™: Does the Leverage Claim Represent Structural Activation?

CFAM™ asks whether the private capital reported in the financing structure is genuinely activated — additional, risk-absorbed, locally viable, linked to credible revenue logic, and connected to verifiable outcomes — or whether it is a leverage ratio that has not yet been tested against activation conditions.

FP301 reports total financing of USD 425 million against a GCF contribution of USD 85 million, implying a leverage ratio of approximately 4:1. Co-financiers include food-sector actors, impact investors, commercial banks, and other institutional capital.

On additionality, the project document states that GCF's junior position is designed to attract investors who would not otherwise participate in Brazilian CRA instruments. This is a plausible activation narrative. However, the public record also indicates that the accredited entity has previously mobilized capital from institutions such as Rabobank, the Inter-American Development Bank, UK Government Mobilising Finance for Forests, and Agri3 for earlier fund iterations. The boundary between newly mobilized capital and capital already oriented toward the same platform requires transaction-level verification that public documents cannot provide.

On risk absorption, GCF's junior position is structurally consistent with a de-risking mandate. The unresolved question is proportionality: whether USD 85 million in first-loss exposure is necessary to change the investment decisions of commercial senior lenders, or whether those lenders would have participated under comparable terms with a different risk structure. This cannot be resolved from public approval documents alone.

On local market viability, the CRA instrument itself has domestic market precedent. The novelty lies in its application to deforestation- and conversion-free soy production with international investor participation and green performance conditions. CFAM™ therefore treats the activation pathway as conditionally viable: the instrument has market precedent, but the green DCF premium, international capital participation, and compliance-dependent return logic remain structural variables.

On revenue logic, the project's return to GCF depends on farmer loan repayment, which depends on soy production, commodity prices, DCF compliance, and market demand over a 12-year horizon. The funding proposal identifies these risks and proposes mitigants. CFAM™ does not dismiss those mitigants. It treats them as design assumptions requiring verification through implementation evidence.

The CFAM™ classification for FP301 is therefore: conditionally plausible, requiring project-level activation verification.

FP301 does not reach a Type II Negative classification because Brazil's Delayed Adjustment regime, the CRA instrument's market precedent, and the identified investor base provide a plausible activation pathway. It does not reach confirmed activation because additionality, risk-absorption proportionality, and 12-year revenue resilience cannot be established from public documents alone.

What the Sequential Application Reveals

A review focused only on the GCF instrument would observe a private-sector mitigation project in an upper-middle-income country, structured through a loan rather than a grant, with co-financing from commercial and institutional actors. That review might reasonably conclude that the project is consistent with a leveraged blended-finance mandate.

The integrated structural framework reveals a more specific picture.

FP301 illustrates Finding 2 — Size–Grant Inversion — because it is a large structure with no grant component. Its scale does not correspond to higher concessionality; rather, it sits within the broader portfolio pattern in which larger projects carry substantially lower grant intensity.

FP301 illustrates Finding 5 — Private Structure Risk — because it is a private-channel project above USD 50 million, with a 0% grant ratio, a public concessional instrument in the first-loss position, and a leverage claim that requires activation verification rather than automatic acceptance.

FP301 illustrates Finding 8 — Channel-Based Concessionality Divergence — because it sits at the extreme low end of the private-channel grant distribution within the Delayed Adjustment mitigation category.

None of these observations establish that FP301 will fail. None establish misconduct. None replace GCF's project appraisal, the project's own risk assessment, or the accredited entity's fiduciary responsibilities.

The project may ultimately prove successful. It may validate its activation logic, revenue assumptions, conservation incentives, and risk-allocation design. The framework neither predicts failure nor asserts success.

What it demonstrates is narrower and more important: approval, leverage, and financing structure are not themselves evidence that the structural conditions for success exist.

They are hypotheses.

Structural audit begins where those hypotheses require verification.



The Gravity of Truth

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Analytical Framework RFRC[™] — Right Finance, Right Country · ESF[™] — ENHANCE Scenario Framework · C-FAIR[™] — Climate-Finance Adaptation and Investment Resilience · CFAM[™] — Climate-Finance Activation Map

Dataset 352 GCF-approved projects and programmes · 2015–March 2026 (B.44) · Publicly available GCF project-level data · Grant ratio, project size, thematic category, access modality, country classification

Methodological Basis RFRC[™] recommended concessionality ranges applied against observed grant ratios · ESF[™] regime classification across 191 countries · C-FAIR[™] investment resilience and private-finance activation screening · CFAM[™] Type II Negative risk signal identification for private-channel projects

Scope Boundary This report examines publicly documented concessionality patterns across the GCF portfolio. It does not assess individual project implementation outcomes, allege misconduct, replace official GCF evaluation, or constitute legal, fiduciary, statutory, or regulatory audit.

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Concessionality should be aligned with structural need before capital is committed, and audited after it is deployed.
Structure before narrative. Audit before silence.
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ENHANCE

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The Independent Structural Audit Report (ISAR) series presents evidence-based assessments of climate-finance allocation, project design, financial instruments, beneficiary structures, implementation conditions, and reported outcomes. ISAR examines both individual projects and systemic patterns across institutions, countries, financing channels, and climate objectives.

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